

Hybrid Mutual Funds for a More Balanced Investment Journey

Hybrid mutual funds seek to address these needs by investing across more than one asset class within a single scheme.

The case for hybrids

A hybrid mutual fund typically combines equity and debt investments. It may also invest in other permitted asset classes if there is a mandate.

Equity can support long-term wealth creation, while debt can add stability and diversification to the portfolio. By bringing these components together, hybrid funds offer investors a structured way to participate in market opportunities. Under the mutual fund classification framework, hybrid schemes include categories such as Balanced Hybrid Funds, Aggressive Hybrid Funds, Conservative Hybrid Funds, Dynamic Asset Allocation or Balanced Advantage Funds and Multi Asset Allocation Funds. Each category follows a distinct investment approach.

Dynamic and diversified: BAFs and MAAFs

Balanced Advantage Funds (BAFs), also known as Dynamic Asset Allocation Funds, have the flexibility to adjust their equity and debt allocation over time in line with the fund's stated investment strategy. This can be relevant for investors who prefer a professionally managed allocation approach that responds to changing market conditions. Multi Asset Allocation Funds (MAAFs) spread investments across at least three asset classes, including debt, equities and commodities like gold. There has to be a minimum allocation of 10% to each of these asset classes. These funds can offer broader diversification by combining exposure to assets that may respond differently across economic and market cycles. For investors seeking a portfolio that is not dependent on the performance of one asset class alone, this approach can be useful.

Equity and debt hybrids: finding the right blend

Hybrid funds invest in both equity and debt in predefined proportions.

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Investing is often about balancing two needs.

Investors seek opportunities for their money to grow over time, while also wanting a portfolio that can sail through different market conditions with discipline.

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M Praveen Kumar
Managing Director
Future First Financials Private Limited

Aggressive Hybrid Funds (equity-oriented hybrid funds) allocate 65–80% to equities and 20–35% to debt, aiming for long-term growth while using debt exposure to reduce volatility. Conservative Hybrid Funds (debt-oriented hybrid funds) invest 10–25% in equities and 75–90% in debt, prioritizing stability with limited participation in equity markets. Balanced Hybrid Funds maintain 40–60% in both equity and debt, offering a more even balance between growth and stability.

Why investors should choose hybrids

The key benefit of hybrid mutual funds is that they make asset allocation more convenient. Many investors understand the importance of diversification but may find it difficult to decide when and how much to allocate across equity, debt and other assets. A hybrid fund places this responsibility within a professionally managed structure. Over the long-term, a diversified allocation can play an important role in an investor's financial journey. Equity and other growth-oriented assets may help in building wealth over extended periods, while debt and additional permitted asset exposures can contribute to a more balanced portfolio experience. For investors, investing towards long-term goals such as children's education, retirement or building a future corpus, hybrid funds can be considered as part of their overall investment portfolio.

Why hybrids matter right now

In the current market environment, investors are seeing movements across equities, interest rates and other asset classes. Such periods reinforce the importance of not relying entirely on one asset class. Hybrid mutual funds offer a disciplined way to maintain diversified exposure while professional fund managers manage allocation.

Choosing a hybrid fund should depend on an investor's financial goals, time horizon, and risk tolerance. Investors may also prefer AMC's with proven expertise in managing hybrid portfolios across market cycles.